

ways to benefit from them. For these companies, such policies and techniques—these special ways of approaching problems and of solving them—are in a sense *proprietary*. For this reason they are of great importance to long-range investors.

*3. Management must be willing to submit itself to the disciplines required for sound growth.*

It has already been pointed out that in this rapidly changing world companies cannot stand still. They must either get better or worse, improve or go downhill. The true investment objective of growth is not just to make gains but to avoid loss. There are very few companies whose managements will not make claims to being growth companies. However, a management that talks about being growth-oriented is not necessarily actually so oriented. Many companies seem to have an irresistible urge to show the greatest possible profits at the end of each accounting period—to bring every possible cent down to the bottom line. This a true growth-oriented company can never do. Its focus must be on earning sufficient current profits to finance the costs of expanding the business. When adjustment for earning the required additional financial strength has been made, the company worthy of farsighted investment will give priority to curtailing maximum immediate profits when there are genuine worthwhile opportunities for developing new products or processes or for starting new product lines or for any one of the hundred and one more mundane actions whereby a dollar spent today may mean many dollars earned in the future. Such actions can vary all the way from hiring and training new personnel that will be needed as the business grows to forgoing the greatest possible profit on a customer's order to build up his permanent loyalty by rushing something to him when he needs it badly. For the conservative investor, the test of all such actions is whether management is truly building up the long-range profits of the business rather than just seeming to. No matter how well known, the